

Customer Segmentation of Indian Agrochemical Industry

An in-depth look into how an industry's customers can be segmented.

The entire market for agrochemicals in India can be segmented based on the factors shown below. Each segment will behave differently from the others and will have a different customer profile. The product and services should be designed differently for each segment. As a result, different firms in the industry can choose to target one or a few of these segments. Targeting each segment requires significant management bandwidth.

Three Basis of Segmentation

Crop Type

Cereals and grains,
oils and pulses,
fruits and vegetables

Geography - wise

Northern India,
Southern India,
Western India,
Eastern India,
Central India

Agrochem Type

Herbicides,
insecticides,
fertilizers,
genetically pesticides,
modified seeds

Each customer segment is identified by a combination of all the different bases of segmentation. For example, cereal growers in Northern India looking for herbicide are a segment. Changing even one basis changes the segment. Cereal growers in Western India looking for herbicides will form another segment. Also, the level of detailing for each segment depends on the scope of analysis. For example, each state can also be used in place of regions for geography, while identifying customer segments.

